

CHAPTER 1: EXECUTIVE SUMMARY

This chapter presents an overview of GabayNegosyo, a proposed digital compliance-guidance platform designed to assist Philippine micro-entrepreneurs in identifying, understanding, and tracking their applicable government compliance requirements. It outlines the business concept, including its name, logo, background, industry classification, organizational structure, vision, mission, and core values, while introducing the problem it seeks to address. The chapter also discusses the survey and sampling methodology and presents a project summary covering the platform's technical specifications, market need, compliance scope, projected cost, and anticipated outcomes, establishing the foundation for evaluating the feasibility of GabayNegosyo as a potential business venture.

1.1 Introduction

Micro-entrepreneurs play an important role in the Philippine economy, representing the vast majority of operating businesses in the country, yet operating a business requires compliance with regulatory requirements that can be difficult to navigate without formal training. Pasagui (2016) noted that complicated business regulations can hinder the growth of micro and small enterprises, highlighting the importance of addressing regulatory concerns that may affect their participation in the formal sector. This challenge has become more pressing as more Filipinos turn to online selling, freelancing, and small-scale entrepreneurship as a primary or supplementary source of income, often registering a business for the first time without prior exposure to government compliance processes.

In the Philippines, business compliance may involve multiple government agencies, each with specific requirements depending on the nature and stage of a business. The Organisation for Economic Co-operation and Development (OECD, 2018) reported that Philippine business registration and regulatory processes involve different government agencies and administrative procedures, each operating under its own system, timeline, and documentation standard. A micro-entrepreneur registering with the Bureau of Internal Revenue (BIR) may also be required, depending on their circumstances, to remit contributions to the Social Security System (SSS), the Philippine Health Insurance Corporation (PhilHealth), and the Home Development Mutual Fund (Pag-IBIG), and to renew a local business permit annually with their city or municipality. Each of these obligations carries its own deadline and its own penalty structure for non-compliance. For micro-entrepreneurs without an accounting background, identifying which requirements apply to their particular business, and keeping track of when each one is due, can be genuinely difficult when relevant information is scattered across five separate government sources written in technical language.

Digital technologies continue to form a growing part of the Philippine business and public-service environment. The Philippine Statistics Authority (PSA, 2024) reported that the Philippine digital economy reached ₱2.05 trillion in 2023, equivalent to 8.4 percent of the country's Gross Domestic Product (GDP), reflecting the increasing role of digital platforms in how Filipinos access services and conduct business. Despite this growth, compliance-related information itself has not been consolidated into an accessible digital

format. Most government agencies publish their requirements independently, and private solutions in the market either focus narrowly on one agency (such as BIR-only form-finder tools) or are built for accountants managing multiple clients rather than for the micro-entrepreneur managing their own single business. This creates a gap between the general digitalization of Philippine business processes and the actual experience of a first-time micro-entrepreneur trying to figure out what they owe and when.

Micro enterprises make up 90.43% of the 1,246,373 business enterprises recorded in the 2023 PSA List of Establishments (Department of Trade and Industry [DTI], 2023), underscoring both the scale of this segment and the scale of the compliance confusion it is exposed to. In response to this gap, GabayNegosyo is proposed as a Progressive Web Application (PWA) that gathers basic business information through a short registration wizard and uses a rule-based profiling mechanism to identify applicable government compliance requirements. It then presents these requirements through a personalized checklist containing the relevant government agency, deadline, required supporting documents, and curated instructional content, allowing the user to see, in a single place, what is required of them and by when.

Thus, this feasibility study aims to assess the technical, market, operational, and financial viability of GabayNegosyo as a digital compliance-guidance platform for Philippine micro-entrepreneurs. The study evaluates its ability to address the practical difficulties of identifying, understanding, and tracking applicable government compliance requirements while assessing its potential sustainability as a business venture, including whether prospective users are willing to adopt and eventually pay for such a platform.

1.2 Business Name

The name GabayNegosyo is derived from the Filipino words *gabay*, which means "guide," and *negosyo*, which means "business." The name reflects the primary purpose of the proposed platform: to serve as a guide for micro-entrepreneurs in identifying and understanding the government compliance requirements applicable to their businesses. By combining these words, GabayNegosyo represents a digital business guide that organizes compliance information into a more accessible and structured format for entrepreneurs. The name was deliberately chosen in Filipino rather than English, since the target market consists primarily of micro-entrepreneurs who are more comfortable navigating a platform that speaks to them in familiar, everyday language rather than technical or corporate terminology.

1.3 Location

[To be completed]

1.4 Business Logo



Figure 1.1. Business Logo

A company logo is a visual representation of a brand's identity, purpose, and core values. The logo of GabayNegosyo incorporates several elements that reflect its commitment to guiding micro-entrepreneurs through their business compliance requirements.

The stylized letter "G" forms an enclosing circular shape that symbolizes guidance, protection, and continuity. Inside it, the checklist represents organized government requirements and step-by-step compliance tracking, while the person silhouette with a leaf accent represents the micro-entrepreneurs served by the platform. The upward-pointing arrow symbolizes direction and progress, complemented by the bar chart that represents business growth and development.

The green color palette, ranging from deep forest green to brighter accents, conveys trust, stability, and progress, while the leaf accents reinforce the idea of growth. The wordmark pairs black typography for "Gabay" with green for "Negosyo," distinguishing the two root words of the name while keeping the overall mark clean and legible. The tagline "GUIDE • SUPPORT • GROW" expresses the platform's purpose of guiding entrepreneurs in understanding their obligations, supporting them through organized compliance information, and encouraging their continued business development. Together, these elements establish a visual identity that reflects the mission and values of GabayNegosyo, positioning it as approachable and trustworthy rather than intimidating or overly corporate.

1.5 Brief Background of The Business

The platform focuses on compliance requirements involving the Bureau of Internal Revenue (BIR), Social Security System (SSS), Philippine Health Insurance Corporation (PhilHealth), Home Development Mutual Fund (Pag-IBIG), and the local government unit (LGU) responsible for business permits. Since these agencies maintain their own requirements,

forms, schedules, and sources of information, GabayNegosyo organizes relevant information into a single platform rather than requiring the user to research and reconcile five separate sources independently.

GabayNegosyo collects basic information about a user's business through a registration wizard, such as business type, whether the business has employees, and the tax type selected, and uses a rule-based mechanism to determine which compliance requirements apply to the user's specific situation. The resulting requirements are presented through a personalized and trackable checklist containing the relevant government agency, applicable form, and deadline. Premium users may additionally access the required supporting documents per item, curated tutorial links, deadline reminders, and a penalty simulator that estimates the possible financial cost of late compliance.

The platform is designed as a Progressive Web Application (PWA), which allows it to be accessed directly through a mobile browser without requiring a separate download from an app store, a practical consideration given that the majority of the target market manages their business primarily through a smartphone rather than a desktop computer. GabayNegosyo does not directly file documents, transmit information to government agencies, or perform official government computations on the user's behalf. Instead, it functions strictly as an informational and organizational tool, helping users identify applicable requirements and directing them to official sources for the actual filing and payment.

1.6 Industry Type

GabayNegosyo operates within the Software as a Service (SaaS) industry, delivered specifically as a Progressive Web Application (PWA). Under this model, the platform is hosted centrally and accessed by users through a web browser rather than through a downloaded or installed application, removing the need for users to manage storage space, software updates, or device compatibility on their end. This approach was deliberately chosen because the target market, micro-entrepreneurs operating on limited capital and primarily using mobile devices, is best served by a platform with no upfront software cost and no technical barrier to entry.

Operating under a SaaS-based, freemium revenue model allows GabayNegosyo to offer its core compliance checklist free of charge, which supports adoption and trust-building among a market segment that is often wary of upfront costs, while generating recurring subscription revenue from users who opt into the premium tier for reminders, supporting documents, and the penalty simulator. This structure also allows the platform to be updated centrally whenever government forms, deadlines, or penalty rates change, ensuring that all users receive the most current information without needing to manually update anything on their end.

1.7 Type of Organization

[To be completed]

1.8 Vision

To become a trusted digital guide for Filipino micro-entrepreneurs, helping them understand and meet their government compliance obligations with confidence.

1.9 Mission

GabayNegosyo aims to:

- Organize BIR, SSS, PhilHealth, Pag-IBIG, and business permit requirements into one personalized checklist.
- Provide clear deadlines, supporting documents, and curated tutorial links from official and publicly available sources.
- Help users become aware of the possible cost of late compliance through an estimate-only penalty simulator.
- Keep the platform affordable and easy to use on mobile devices.

1.10 Core Values

Accuracy

Requirements and rates are based on official government sources and updated when regulations change, so that users can rely on the platform as a current reference rather than outdated information.

Accessibility

The platform is mobile-friendly and priced for micro-entrepreneurs, recognizing that the target market typically operates on limited capital and primarily uses a phone rather than a desktop computer.

Transparency

Users are told plainly that the platform gives estimates and guidance only and does not file or compute officially on their behalf, avoiding any impression that GabayNegosyo replaces the role of a licensed accountant or an official government transaction.

Integrity

User data is handled in accordance with the Data Privacy Act of 2012 (Republic Act No. 10173), reflecting the platform's responsibility over the personal and business information entrusted to it by its users.

1.11 Survey and Sampling Technique

1.11.1 Survey Instrument

This study used a structured survey questionnaire to gather primary data from prospective users within the National Capital Region (NCR). The questionnaire has five parts: (I) respondent profile, (II) current compliance practices, (III) product interest, (IV) willingness to pay, and (V) promotional preferences. Questions are mostly closed-ended with fixed options, with an "Others, please specify" choice where needed. This approach allows

responses to be tallied and compared efficiently across respondents with differing business types and compliance experiences. The questionnaire opens with a data privacy notice, and participation is voluntary.

The primary purpose of this survey is to assess the current level of awareness and difficulty among Philippine micro-entrepreneurs in tracking government compliance requirements, evaluate the market acceptability of a consolidated digital compliance-guidance platform, and validate prospective users' willingness to pay for the proposed premium features.

1.11.2 Target Respondents

The respondents are Philippine micro-entrepreneurs within the National Capital Region (NCR), namely freelancers and independent service providers, online sellers, and micro-business owners with one to five employees. These groups match the intended users of the platform, as they are the segment most likely to be managing multiple compliance obligations without dedicated accounting support. Micro enterprises make up 90.43% of the 1,246,373 business enterprises recorded in the 2023 PSA List of Establishments, which supports the choice of this segment as both a sizable and underserved market (DTI, 2023).

1.11.3 Sampling Technique

The study used non-probability sampling, specifically purposive sampling combined with convenience sampling. Purposive sampling was used to select respondents who fit the target market profile, while convenience sampling was used to reach those who were accessible and willing to answer within the study period (Etikan et al., 2016). This is appropriate because no complete list of unregistered micro-entrepreneurs is available, which makes random sampling impractical.

Because the exact total population (N) of micro-entrepreneurs within the National Capital Region (NCR) is indeterminable, the researchers utilized Cochran's Formula for calculating an ideal sample size for an unknown or infinitely large population.

Cochran's Formula

$$n_0 = \frac{Z^2 pq}{e^2}$$

Where:

n_0 = Initial sample size

Z = Z-value

p = Population proportion

q = 1 - p

e = margin of error

$$n_0 = \frac{(1.96)^2 (0.5)(1-0.5)}{(0.05)^2}$$

$$n_0 = 384.16$$

To ensure statistical validity and accommodate potential non-responses or invalid entries, the computed sample size was rounded up, resulting in a target sample of 385 respondents.

A total of [insert actual number] respondents answered the survey, distributed through [insert channels, e.g., Google Forms shared in online seller groups, social media, and personal referrals].

1.11.4 Limitations

Because the sample is non-random, the results may not represent all Philippine micro-entrepreneurs. The findings are treated as indicative of market interest and willingness to pay, not as population estimates. The study is further limited to the specific compliance areas covered by the platform (BIR, SSS, PhilHealth, Pag-IBIG, and business permits) and does not assess other regulatory obligations that may apply to specific industries.

1.12 Project Summary

1.12.1 Technical Specifications of the Platform

GabayNegosyo is a Progressive Web Application accessible through a mobile or desktop browser without requiring installation from an app store. The platform uses a rule-based profiling engine that takes in basic business information collected through a registration wizard, business type, employee status, and selected tax type, and matches it against a maintained dataset of BIR, SSS, PhilHealth, Pag-IBIG, and LGU requirements to generate a personalized compliance checklist. Each checklist item is tagged with its governing agency, applicable form, deadline, and a "last verified" date to maintain user trust in the currency of the information.

Its checklist engine covers the core recurring obligations applicable to micro-entrepreneurs: BIR filings (including Percentage Tax, Income Tax, and Withholding Tax returns depending on tax type), SSS/PhilHealth/Pag-IBIG contributions for businesses with employees, and annual business permit renewal with the LGU. Where a deadline is at risk of being missed, the platform displays an estimated penalty using officially sourced rates, currently a 10% surcharge and 6% annual interest for BIR Micro and Small Taxpayers under the Ease of Paying Taxes Act (Republic Act No. 11976) and its implementing Revenue Regulations No. 6-2024, alongside the applicable monthly penalty rates for SSS, PhilHealth, and Pag-IBIG.

1.12.2 Summary of Market Need vs. Existing Gap

The study responds to a documented gap: Philippine micro-entrepreneurs, who represent 90.43% of registered business establishments (DTI, 2023), must navigate compliance requirements spread across five separate agencies with no consolidated digital reference built for the entrepreneur directly. Existing market solutions either address a single agency in isolation or are designed for accountants managing a client portfolio rather than for a

business owner managing their own single business, leaving the specific needs of this segment largely unaddressed.

1.12.3 Summary of Compliance Requirements

[To be completed]

1.12.4 Summary of Project Cost

[To be completed]

1.12.5 Summary of Financial and Economic Results

[To be completed]

1.12.6 Summary of Risk Indicators and Plans

[To be completed]

1.12.7 Summary of Findings, Conclusion, and Recommendations

[To be completed]

GabayNegosyo does not file documents, transmit data to agencies, or perform official computations. It is an informational and organizational tool only. The feasibility study evaluates its technical, market, operational, and financial viability using survey data from prospective users.

CHAPTER 2: MARKETING ASPECT

CHAPTER 3: TECHNICAL AND OPERATIONAL ASPECT

References:

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